The Basel III banking regulation standards emerged out of this ‘inclusive’ process. Shorn of a myriad of detail, at its heart, Basel III is a requirement for banks to raise the quantum and quality of their capital so that they are better prepared to withstand shocks, thereby bolstering both domestic and global financial stability.

At a theoretical level, the requirement of higher capital standards on banks is unexceptionable; the more fortified an institution, the better it is able to withstand shocks. But bringing in additional capital entails costs, and these additional costs will translate into higher interest rates on bank lending. In short, the question is, how much are we willing to spend to buy insurance against a shock to our banking system?

The cost-benefit calculus is different for advanced economies and for emerging markets. Emerging markets, led by India, argued at the BCBS meetings that the costs of additional capital to be raised by banks would hurt their growth prospects, especially at a time when their growth prospects depended more than before on the availability and cost of bank credit. However, we failed to influence the final Basel III decision in any significant way.

For sure, the Basel III framework includes a ‘comply or explain’ provision, meaning that if a country is unable to comply with the standards, it can choose to deviate and then explain why it had to deviate. In practical terms though, this choice is a no choice. In the ruthless world of globalization, deviating from global standards, no matter how convincing the explanation, is not an option open to emerging markets.

Going forward, I believe it is important for global-level reforms to factor in emerging-market viewpoints. Emerging markets are undergoing significant transformation, including in their banking and non-banking sectors, technology-led financial inclusion and product development. These developments challenge old banking models, present promising opportunities and pose new risks for financial institutions and financial markets. Ignoring these EM perspectives in global-level financial sector reforms will be collectively suboptimal for the whole world.